

management, low returns, and even lower payout ratios, highly liquid balance sheets, and surplus assets. Brierley was convinced that the industry would consolidate, and in the early 1970s took positions in a number of companies at what was the industry's trough. The largest was Southern Farmers Cooperative Limited, which possessed two attributes Brierley sought. It had been a cooperative, but had converted to a limited liability company, and, in the process had uncovered 1,600 GNAs who had gone missing in the conversion.²⁸ The formerly unusual legal structure meant that it flew under the investment radar, and the large number of GNAs meant that Brierley would not require 50 percent of the stock to control the company. Brierley estimated the intrinsic value of Southern Farmers' shares, which traded in the market for \$1.30, at almost \$8 per share, making it at the time one of the most undervalued companies on the Australian stock market.²⁹ He saw that Southern Farmers was so overcapitalized, and with so many fallow assets that could be sold, that he could get control of it for practically nothing once the capital was returned.

In 1974 Brierley put a third of Industrial Equity's capital into Southern Farmers before the directors even realized he was preparing a bid. Believing Brierley wanted to strip the cash, the directors caused the company to return almost 7 percent of its capital to shareholders as a 50-cent-per-share cash dividend. As a substantial shareholder, Industrial Equity was one of the main beneficiaries of the return of capital, which just served to reduce its holding costs by almost 40 percent. Realizing their tactical error, Southern Farmers then merged with a consortium of agricultural companies, which had the effect of reducing the proportionate size of Brierley's shareholding, but also delivered to him another large cash payment. Industrial Equity put the cash to good use, acquiring Noske Limited, a company that Southern Farmers wanted. In 1976, Southern Farmers bought Noske from Industrial Equity in an exchange of shares, boosting Industrial Equity's holding in Southern Farmers again. Brierley was also appointed to the board of Southern Farmers, delivering him effective control of it. The company became his platform for consolidating the food and agricultural industry. By 1978, it was the third-largest company in the industry by assets.

Shareholders hailed him in 1986 at the twenty-fifth annual meeting of Brierley Investments—the "R. A." had been dropped in 1971. In the 25 years since its founding, Brierley Investments had grown to 160,000 shareholders, sported a NZ\$4.5 billion market capitalization (about \$9.2 billion), and controlled 300 companies around the world with NZ\$11.8 billion (almost \$20 billion) in assets. NZ£500 invested in 1961—New Zealand converted from pounds to dollars in July 1967 at a rate of two dollars to one pound—was worth an extraordinary NZ\$3 million by 1986, a compound annual growth rate of approximately 38 percent. It was a full validation of Brierley's